

What is the best way to make sure a 'baseline' review is consistent with overall strategy?

Baseline reviews are a process where an individual or group (usually external) looks at an agency, organization or initiative to examine its expenditure. Conceptually a baseline review, by its very nature, should be driven by the same priority setting approach as is used in the initiative's normal strategic planning. The only difference from normal planning is that it often involves an external team doing the review and there may be an overriding direction such as reducing expenditure. A baseline review team works by going through an initiative's expenditure line-by-line and determining whether or not each item of expenditure is still a priority.

The weakness in this approach is that the baseline review's success relies entirely on the depth of understanding of the initiative's priorities on the part of those doing the review. In the case of a government agency it relies on them having a comprehensive mental model of what the politicians who have commissioned them want from a strategic point of view; what government agencies need to do from a business-as-usual point of view; and what citizens' outcomes are. They are then meant to compare the line-by-line government agency expenditure while they hold these three models in their heads. They then have to come to a view as to whether a particular item of expenditure is currently a priority or not. Often when this is done, it is not a particularly transparent process, and there is no way of knowing how robustly a baseline review team has carried out its job. If it is directed at saving money, all that is known is the amount of money saved, but it will be unclear as to whether they have excessively traded-off the achievement of important outcomes.

Within DoView Planning, a baseline review is done by taking the relevant DoView strategy/outcomes diagram for the agency used in initial planning and re-prioritizing it in the light of the level of funding now available. This is a much more transparent process than the usual baseline review process. It is also more efficient because those doing the baseline review are working off the DoView strategy/outcomes diagram that has already been developed as part of routine planning. This means the agency is not at the mercy of whether or not the particular people doing the review have a comprehensive mental model of the relevant politicians', government agency, and citizens' outcomes.

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